

Profitable Stock Exchange Investments  
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\*\*\* START OF THE PROJECT GUTENBERG EBOOK PROFITABLE STOCK EXCHANGE INVESTMENTS \*\*\*

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*\_Profitable Stock Exchange Investments\_*

*\_PRINCIPAL AND INTEREST GUARANTEED\_*

*\_Henry Vorce Brandenburg & Co.  
(INCORPORATED)  
BANKERS  
6 WALL STREET, NEW YORK, N.Y.\_*

## PREFACE

This book is published to show the absurdity of trying to make money speculating in Wall Street without adequate capital and the ease with which it can be made with capital and proper methods.

The following pages open to the public a safe, conservative, and highly remunerative channel for the investment of their surplus funds, which does not have the element of risk and uncertainty that exists in general business.

## PROFITABLE STOCK EXCHANGE INVESTMENTS

You read a great deal about the money lost in Wall Street.

\_As a matter of fact there isn't any money lost in Wall Street.\_

\_It simply changes hands.\_

People talk loosely about gamblers and speculators losing all their money in the end.

If money is lost, somebody has got to win it.

The people who go plunging around in Wall Street making all sorts of speculations on margin naturally lose their money. They ought to expect to lose it, and they ought to lose it whether they expect to or not. They are simply gambling with all the odds against them.

Meanwhile, the wise and shrewd operators follow prudent, business-like methods and get the money.

The Vanderbilts, Goulds and Morgans of Wall Street are sometimes described as robbers waiting in their dens to slaughter the poor innocents who venture within reach. That is all nonsense. \_They win because they know how to play the game, and others who have sense enough and patience enough to play the game in the same way will win too.\_ They absolutely cannot help winning.

The purpose of this book is to inform the reader fully as to the methods by which money can be taken out of Wall Street--the methods

used by the successful operators of the past twenty years to our knowledge--the methods which positively must win year in and year out.

We purpose to give the public an opportunity to make a safe and profitable investment in Wall Street, and have their money handled for them according to correct and profitable methods.

The men who win in Wall Street are those who invest in stocks--good, dividend-paying stocks, buying them when they are low, selling them when they are high.

This is not gambling nor speculation any more than any legitimate business is gambling or speculation.

In all classes of business we buy at a certain price, and sell at a higher price.

\_We buy under the most advantageous circumstances possible, paying the least possible price and selling at the highest market price.\_

This is what we are doing in Wall Street, and as we handle only the stocks of sound and stable corporations, the security behind our operations will be the strongest in the world.

The gist of the matter is that the stocks of the leading and most stable corporations of the country are tossed about in Wall Street from speculator to speculator, going up and down constantly and varying enormously in the prices at which they are bought and sold.

These changes in prices are nearly always due to a feverish and excited market. The stocks themselves do not actually vary in real value. They are worth a certain sum all the time. They are paying dividends on that sum and the stocks at their real value are always a good investment. Yet by the manipulations of the speculators and on account of the exigencies of these Wall Street marginal gamblers such stocks can be bought at times at a fraction of their value, and by reason of the same causes can be sold at other times for far more than they are really worth.

\_The men who make the money in Wall Street are those who know what stocks are really worth and who buy when prices go down and sell when they go up, buying and selling the same stocks over and over again, and making a handsome profit on every transaction. They do not care how low a stock they hold goes for the reason that the stock belongs to them, they know what it is actually worth as a dividend payer, and in the skyrocket performances of the speculators of the Street they take no interest except as it gives them opportunities to buy and sell. They do not care how high a stock goes; they have no shortages to cover, but can simply sit back and sell as much of their holdings as they choose whenever they see an opportunity to make a big turn.

Such men will turn a block of stock in a given corporation over and

over dozens of times in the course of a year, making so much money on it that even if the stock should disappear off the face of the earth altogether, they would still be far ahead on it, simply on account of the numerous advances and declines.

By owning stocks in a large number of good, sound corporations, they will average to make a certain sum of money every day in the year. They spread their invested capital over a wide field in this manner, and the laws of average make them sure gainers at every stage of their operations.

\_This is, as you will observe, very similar to the principles upon which the great life insurance companies are managed.\_

Many of these commenced business starting with but a few thousand dollars, and they now have assets of millions. They have piled up this enormous wealth by insuring the lives of human beings.

Every company which has not succeeded has failed because it did not issue a certain number of policies.

\_The secret of success is the large number of risks reducing the chance to a minimum.\_

No life insurance company could succeed if it insured but a few lives.

By the law of average, insurance companies can tell just how many of the people they insure will die each year.

When you make an application for life insurance the first question they will ask is your age, and by referring to their tables they can tell you the month and day when you will die. Now, you may not actually die upon that day, but you do theoretically, and the point is that they have so many risks that the law of average, always prevailing, in the end brings everything out just as figured.

The fact that one person lives longer than the date when his life should end is offset by the fact that another person dies sooner than expected, and thus the law of average is absolutely maintained.

The postal authorities could not come anywhere near telling how many letters would be mailed in the City of New York on a certain day, but they can come with remarkable closeness to the average for a year in advance, and predict with certainty how many people will write letters and forget to address them during that time.

\_It is by the working out by the law of average as best exemplified by the insurance business that it is possible to work out a plan by which Wall Street stocks can be dealt in with absolute safety and certain profit.\_

Of course, no man or company could purchase one hundred shares of stock

without the risk of a loss. That is to say, no man should make a purchase of this kind unless he is in a position to buy again and again many times over and still hold all that he has previously purchased.

Buying a certain quantity of stock in one corporation is very much like an insurance company insuring the life of one man. But when you buy thousands of shares of stock in various corporations, some stocks going up and some going down, the law of average is an absolute protection and the statistics of stock fluctuations for the past twenty-five years show beyond the possibility of doubt that this is true.

The fluctuations in the prices of good, dividend paying stocks are something remarkable. \_Some active stocks show a fluctuation of five thousand times their value in a year, thus offering a continual opportunity for money making.\_

These are the stocks which are constantly speculated upon, the stocks on which so much money is lost and upon which the cool headed and careful operators make so much.

The Western Union Telegraph Company's shares have always paid 5% dividend, and the average market price has been about 90, making the income about 5-1/2. Now, suppose it is purchased in ten-share blocks on every one per cent. decline and none sold above the average price, it will show an income of more than 43% per annum, besides some dividends.

\_Suppose the very worst were to happen and there was a 20 point decline in Western Union, then we would have\_

|                 |       |
|-----------------|-------|
| 10 shares at 90 | \$900 |
| 10 " " 89       | 890   |
| 10 " " 88       | 880   |
| 10 " " 87       | 870   |
| 10 " " 86       | 860   |
| 10 " " 85       | 850   |
| 10 " " 84       | 840   |
| 10 " " 83       | 830   |
| 10 " " 82       | 820   |
| 10 " " 81       | 810   |
| 10 " " 80       | 800   |
| 10 " " 79       | 790   |
| 10 " " 78       | 780   |
| 10 " " 77       | 770   |
| 10 " " 76       | 760   |
| 10 " " 75       | 750   |
| 10 " " 74       | 740   |
| 10 " " 73       | 730   |
| 10 " " 72       | 720   |
| 10 " " 71       | 710   |
| 10 " " 70       | 700   |

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Total Investment      \$16,800

It will be seen that \$16,800 will handle a ten-share lot of Western Union Telegraph through a regular "Black Friday" panic, with a resulting investment as stated above. It must be borne in mind that the average prices of these purchases is 80, giving a dividend of 6% on the investment, but when the market has resumed its normal condition (90), the profits will be \$2,100, exclusive of dividends.

If lots of 100 shares each were purchased, there would be profits of \$21,000 exclusive of dividends.

\_The shares of the American Sugar Refining Company fluctuate 4,900 times their par value every year, and our method applied to them will give a profit of from 200 to 300% per annum, exclusive of dividends.\_

While we refer to the possibilities in making investments in Western Union and American Sugar Company's shares, we include in our operations a number of different securities, all at the same time.

For instance, when we would purchase one hundred shares of one stock, we divide it into five or ten different lots and do the same thing in, say, ten or twenty different stocks all at the same time; therefore, instead of having on hand a few large lots, we have two or three hundred small lots, purchased down to the lowest prices, and by purchasing outright a large quantity in little "lots" at different prices, the average cost eliminates the risk of loss and insures certain profits.

According to the results of speculation and manipulation, the twenty different stocks that we deal in do not usually all go down at the same time. Some are going up, while others are going down; therefore, we are receiving profits in one, while making advantageous investments in another.

\_We have been established in Wall Street for a number of years, and we know about the various stocks on the market, their value and earning capacity.\_ We know the stocks which are most sought after by investors, and the stocks which are used by speculators to make money out of the public.

We now offer to the public the best plan for a legitimate investment speculation. We have an authorized issue of \$500,000 debenture bonds due and payable in three years, with interest at 5%, payable semi-annually, for the purpose of buying and selling stocks and securities as dealt in upon the stock exchanges of New York.

\_In consideration of one-half of the net profits accruing from these investments we guarantee the bonds and interest at the rate of 5%, and conduct, manage and direct the business.\_

We distribute the net proceeds on the first of every month, one-half to

the bondholders and one-half to our company.

These bonds are issued in sums of \$25 and upwards, as purchasers may direct, and are transferable only upon the books of the company.

\_The first thing to be sought is absolute safety in investment.\_  
Only sound, dividend paying securities will be bought and only at a bargain when it is known beyond question that the price is below their actual earning power. Having purchased and paid for the securities the bondholders become the owners of them, and they will be placed in our vaults until such time as they can be sold at a handsome profit.

\_No get-rich-quick methods will be used, and no speculation indulged in.\_

No large amount of money will ever be tied up in one stock.

The operations will be spread over a large amount of ground, making small investments in proper securities, thus practically eliminating all risk of loss. It is more certain than life insurance business.

The chances of loss will be considerably smaller than they would be in banking, manufacturing or mercantile enterprises.

Purchases will commence when a stock is over-depressed and evidently selling below its real value.

Purchases will continue so long as the price continues to go down.

These stocks will then be held and we will have every advantage over the market, instead of the market having the slightest advantage over us, as it does over ninety-nine out of a hundred speculators.

\_When the speculator is forced to sell at a low price we begin to buy.\_

When he is forced to buy at a high price we will be ready to sell.

We have the advantage over the market at every stage of the game.

The market cannot force us to do anything because we are in a position to do precisely as we please.

\_This business is strictly cash, buying for cash and selling for cash, trading in securities of strong, dividend paying corporations and going steadily forward every business day in the year.\_

No credit will be extended or asked.

There will be no bad debts.

No money has to be expended for plant, equipment or other costly things

which figure in ordinary lines of business.

\_Every cent of money will keep working all the time, and such of it as is not invested will be drawing interest in a Trust Company.\_

There will be absolutely nothing to worry about.

When we want to buy other people are unloading. They have been frozen out and have to sell.

The more freezing out there is, the more panicky things get, the better it is for us.

There is more money to be made in one panicky day than there is in weeks of ordinary Wall Street trading.

Then, on the other hand, when everything is looking first-rate and prosperous, Wall Street is full of people who want to buy. There is where we are ready for them again.

We bought the stocks when people had to sell them.

Now the people want to buy and we are right on hand with the goods--bought cheap at the proper time and now glad to sell at a goodly profit.

This method of ours is nothing new or untried. It has stood the tests of time and made many a millionaire.

\_It is founded upon the firmest possible foundation, and has gone over squalls, slumps and panics, and in twenty years, to our personal knowledge, it has never failed to win.\_

We know of a number of people who have become rich by following this method. We know of one man who operated for fifteen years. He retired January 1, 1898, reputed to be worth twenty millions of dollars. He never lost, paid for what he bought, buying proper securities in small quantities at a declining market, going right along to the bottom still buying and then holding on until the market was in its normal condition and he could pocket his profits and be ready to do it all over again.

You will note that this business absolutely cannot be affected by financial calamities.

On the contrary, a panic is a blessing.

It may seem to you that if this method of taking money out of Wall Street is so simple, that you can do it yourself. You certainly could if you had the capital, knew the stocks and their value thoroughly, could devote your whole time to it, and, what is more important, had the firmness and will power to follow the method and not be swerved from it by the temptation of speculation.

Not one man in a thousand can go into Wall Street and fail to be influenced by the wild speculation which is going on there, the apparent opportunities for getting rich in a minute, the tips and rumors and all that sort of thing. That is precisely why so many people are wrecked in Wall Street, and the reason why so few succeed is that they have not the patience and the cool, calm judgment requisite to play the game in the only way in which it can be beaten.

The Manager of our Corporation will not be allowed to be influenced by anything except our instructions. He will be under sufficient bond to follow his instructions, which will be precisely as outlined above. He will be a buying and selling machine, oblivious to all outside influence. He must carry out our orders regardless of whatever may happen, and he is a man who can be depended upon to do it.

\_A corporation, being a machine, can succeed by this method for the reason that it must follow a certain outlined course and cannot, and dare not, deviate from it by a hair's breadth.\_

The individual left to himself in Wall Street soon finds himself figuring, speculating, making forecasts, listening to tipsters, reading financial newspapers, living with one eye on the ticker, and pretty soon he has forgotten all about the method he intended to follow, and is a plain, ordinary Wall Street gambler--and the shrewd and cautious wise heads of the Street soon get his money.

The marginal operator is always at the mercy of the market instead of having the market at his mercy.

The wonder is not that so many of them lose so much money, but that any of them win at all.

It is only a question of time until they are wiped out. The odds against them are altogether too great, and while they may weather a few slight squalls and run along smoothly for a time, sooner or later disaster comes, generally unexpected and overwhelming.

What is the use of trying to make money in Wall Street by marginal speculation when the odds against you are so great?

If you want to undertake to make money, why not make your attempt a scientific one? Why not place the money you wish to invest where it will be handled in a manner by which, as shown by the statistics of twenty years, cannot fail to win.

It is no more speculation than it is for a banker to loan money to his friends and associate business men.

\_In fact, it is not so speculative for the reason that we make investments in the stocks of companies of standing--stocks which are just as good as gold, and represent vast enterprises, enormous

properties and great earning power.\_

It may be asked, what will occur at the end of a year's business if some of the stocks are selling below the price at which they were bought. The answer is that they are kept in our vaults because they are safe, sound, dividend-paying stocks, but the dealings in the securities will show a handsome profit, more than enough to pay for the shares on hand because the numerous little purchases and the accompanying reactions in these very stocks have already resulted in a large number of profits.

Generally speaking, there will be no stocks carried a whole year because we will never buy except under forced conditions, and the reactions are generally very prompt, so we will be able to sell out quickly at higher prices.

\_It matters not how much you may know about Wall Street and financial methods and matters in general, you cannot figure out a way in which we can fail to succeed.\_

Suppose the worst kind of a panic comes, the worst possible period of financial depression; suppose, we have stocks on hand which are going lower and lower; suppose, we buy until our buying capacity is exhausted, and still stocks go down and down; in what way can we be injured? We do not owe anybody anything, and whatever money we have made is in the pockets of our bondholders. Nobody has extended any credit to us, and nobody can hold a club over us. We have no running expenses that amount to anything--no big rents to pay, no insurance, or anything else of that sort. There is no pay-roll to meet, no big stocks of goods to worry about--simply nothing that can squeeze us a penny's worth. All that we have to do is to wait, and waiting under these conditions is the easiest thing in the world.

\_The stocks we own are all those in corporations, concerning whose solidity and assets there cannot be the slightest shade of doubt.\_  
These stocks all have a certain value, as shown by the earning power of the corporations behind them. Sooner or later, they have simply got to go back to their normal, actual, tangible value. So we simply wait until they go back there, and that is generally a question of a very short time. Short or long, however, the time must come, and when it does come, we are in line to reap the richest kind of a harvest.

There is absolutely no loop-hole in this proposition. There is absolutely less risk of loss than in any business or other enterprise you can mention.

It is a business carried on with good, hard cash, and with every possible advantage in our favor.

\_The holder of even one bond of \$25 stands upon the same footing as the owner of a large block, receiving regularly the pro rata earnings represented by his share.\_

The officers and directors are well known men of business, thoroughly familiar with Wall Street and its methods, most of them having been for many years actually engaged in some business requiring expert financial knowledge.

The bondholders can be assured that their money will be invested and handled as set forth in this prospectus, first, because the officers and directors cannot have any motive for doing otherwise, inasmuch as they know that the method herein outlined is the only one which can win in Wall Street. They are also protected in every possible way, and every desired assurance will be given in this respect.

\_The books and records of this Company, open to bondholders, will show at all times precisely what investments have been made, how money has been made upon them, what stock are owned by the Bondholders, and so on.\_

These records can be compared with and verified by the financial records of the New York Stock Exchange, as published through the regular channels, so that the bondholder can at all times assure himself that we have done just what we claim to have done, and that he has secured his just and equitable share of the profits of the operation.

#### \_WALL STREET DICTIONARY\_

We give below a few definitions of some of the more important words used in the financial operations of Wall Street.

The Street itself has been the center of finance of this country for nearly a hundred years, when the New York Stock Exchange was established.

Here are offices of the greatest and wealthiest financiers the world has ever known.

It is the greatest speculative center in this or any other country.

Here are found the men who create and handle railroads and the largest industrial enterprises in the world.

In the Exchange millions of dollars' worth of stocks and bonds are bought and sold every day.

Here are found hundreds of banks, trust and safe deposit institutions, private bankers and capitalists, a money center which controls seven-tenths of all the money in America.

In Wall Street you may buy or sell one or more shares of the stock of any great railway or industrial company in the country.

Here is where all important enterprises are financed, and where the public sends enormous sums of money to be invested for speculative gain.

#### INVESTORS.

Those who come into the market and purchase securities for the purpose of holding them as safe investments for their money, securing an interest or dividend income thereon.

#### SPECULATORS.

Those who buy and sell upon margins for quick profits. They are non-producers. They are simply gamblers, with the odds badly against them. They sometimes prosper for a while, but lose their money in the end.

#### INVESTMENT SPECULATORS.

Those who buy stocks judiciously, selecting choice securities whose value is well known, buying when values are depressed, and selling when sufficient advance occurs to give them a good profit. This they repeat over and over again, and make money while the speculator on margin loses. It is to this class that we appeal.

#### "A BULL."

A speculator who buys expecting to sell at a higher price. He is called "long" on the market, meaning that he is buying with the expectation that the market will go up and that he will sell out at a profit. His belief not only is that prices are going higher, but he uses all his influence in every possible effort to make them go higher.

#### "A BEAR."

A speculator who sells in the expectation of a decline. He is called "short" of the market. He is selling what he has not got. He does this in the expectation that prices are going down, and that he will be able to buy the stocks at a lower price than that he has to pay for them, and by delivering them at the price at which he sold to make his profit. He puts up his margin and takes his risk. As an illustration of what a "bear" is and does, suppose you believed that in a week's time corn would go down in price; therefore, you sell and promise to deliver

so many bushels of corn at a certain price. If corn does go down, and you can buy it at a lower price than that at which you sold, you are a winner. If it disappoints you, and it goes up, you have to deliver it anyway, and are out of pocket.

#### "A LAMB."

A man who thinks he knows all about the Wall Street game, and bases this belief on the fact that he keeps abreast with the times, reads all the financial columns in the newspapers, wades through all the Wall Street papers and watches the ticker faithfully and conscientiously. When he is sure he knows all about it he goes jauntily down into the Street, and soon discovers that he knows nothing about it at all. He finds this out just at the moment when all his money is gone.

#### "A FLYER."

A flyer is a more or less reckless gamble, which pretty nearly everybody feels strongly inclined to make once in a while. When a flyer turns out right it is a very profitable thing, but the trouble with it is that it rarely turns out right or anywhere near it.

#### "A BREAK."

A rapid decline in prices of stock.

#### "A BULGE."

A quick upward movement in prices of stock.

#### "FLAT."

Stock loaned by one broker to another without interest is loaned "flat."

#### "A HEDGER."

One who buys a quantity of stock, and then for fear he has made a mistake, sells the same quantity in order to "hedge" against the loss that he fears is to come. A "hedger" usually makes nothing, because the profit on his purchase is offset by his sale, or vice versa.

#### "LIQUIDATION."

Generally selling out of stocks previously purchased by the "bulls."

"MANIPULATION."

Forcing stocks too high or too low by misrepresentations, rumors and false sentiments.

"OPTION."

A contract that one person will deliver to another a certain thing at a fixed price within a certain time.

"POINT."

One dollar or one per cent. a share on stock is one "point." Stock advances and recedes by "points," and is always so quoted.

"PRIVILEGES."

"Puts," "calls" and "option" come under the general head of "privileges."

"PROMOTER."

A broker who secures the capital to finance corporations.

"REALIZING."

Closing out stocks or contracts of any kind to secure profits.

"SOFT SPOT."

A general but slight weakness shown in prices.

"AN OVERSOLD MARKET."

This means a market in which the traders have sold "short" to an extent which conditions do not warrant. They thereby place themselves at the mercy of the "manipulators," who stand ready to squeeze the "shorts" when the proper moment arrives. "AN OVERBULL MARKET" means the reverse of this situation.

"RAIDING THE MARKET."

Concerted action of sellers of all descriptions, who discover some cause for loss of confidence in the maintenance of prices and sell right and left every stock for which they can find a buyer.

"A DULL MARKET."

This describes a market where there are few transactions and small fluctuations.

"A HEAVY MARKET."

One in which prices barely hold their own, and are inclined to sag off a little during the day, closing lower than they opened.

"NET GAIN."

The actual amount of profit after taking broker's commission, war tax, or revenue stamps.

"GROSS LOSS."

The entire amount of loss suffered after adding broker's commission, war tax, etc., to the loss on the transaction.

"ROUND TURN."

This means a complete deal after having bought and sold or sold and bought, as the case may be. For instance, in stating a broker's commission you would say that it amounts to one-sixteenth for buying and the same for selling, or one-eighth for the "round turn."

"COMMISSION."

This is the remuneration which the broker receives from a customer in executing orders for the purchase or the sale of stocks or grain. This payment is based on the par value of stock or grain bought and sold, and not on prices at which the transaction was executed.

"A POINTER."

Information supposed to come from the inside and giving you an infallible tip on just what is going to happen. Sometimes information of this kind is valuable, but rumors of the wildest kind are so continuously floating around the Street that a "pointer" is more than likely to be an unfounded, silly rumor, which somehow has gotten into

respectable company. If you know that the information comes from a reliable party who knows what he is talking about, and have money enough so that you can make an investment--not a speculation on narrow margin--and can afford to hold on after the methods of this company until prices rise, the "pointer" may prove a good thing.

"A POOL."

A syndicate of men who combine forces to get control of a property.

"A CORNER."

When a "pool" or an individual quietly buys up the shares of a property so that they can absolutely control it, it is called a "corner." Those who succeed in effecting a corner will not let the "bears" cover their "short," except at extraordinarily high prices.

"A SQUALL."

Depressing news that comes unexpectedly upon the market, and frightens the timid speculators into letting go their holdings.

"A SLUMP."

A continuation of depressing influences which makes the margin dealers sell out.

"A PANIC."

A time when most of the "bulls" have been wiped out and everybody is a "bear" on the market and goes "short" because it is the prevailing sentiment.

"Squalls," "slumps" and "panics" are disastrous to the ordinary speculator, and ruin them by the thousands. They represent, however, the very best opportunity for money making, as has been shown in hundreds of instances. They will give this Company the chance to buy the best sort of securities at prices so low as to make big profits a certainty. It is under these conditions that this Company will make its purchases. With patience enough and capital enough it is possible by acting promptly at the time when these bargain days occur to make more money in Wall Street than in any other place in the world.

"A RALLY."

A state of affairs which exists almost immediately after the public has

unloaded its "long" stocks and put out a "short" line.

"A CALL."

A privilege to buy a certain number of shares at a given price within a certain space of time.

"A PUT."

A privilege to sell a certain number of shares at a fixed price within a given period of time.

"A SPREAD."

When an operator buys or sells both a "put" and a "call."

"ON CURB."

The private dealings made outside the Exchanges. A curb-stone broker is a familiar figure and carries on his business every day in Wall Street.

"INSIDERS."

There are two classes of Wall Street men known as "insiders." One is a class which is really inside. Officials of Corporations, of banks and Trust Companies and wealthy financiers who really control the properties dealt in the Exchanges are really "insiders." They control the market, but never give out under any circumstances any information, and in most cases they do not know themselves just what they are going to do from one day to the next.

The other set of "insiders" are those who only make the "lamb" think they are on the inside. They never have any money of their own to speculate with, and they sell their "knowledge" to outsiders for fraction profits when there are any. They advertise and give out their pretended information, and have it sent out all over the world, knowing that every city and town may be depended upon to produce "lambs."

BUCKET SHOPS.

A place where you can bet whether a stock will go up or down. You do the guessing and the "bucket shop" makes the money. If you win sometimes you get your money back and sometimes you don't.

"TIPSTERS."

The "tipster" in Wall Street is like the tout on the race track. He pretends to know all about it, and is a very solemn and mysterious individual. He tells one man to buy and another to sell, knowing that whichever way the market goes one of them will be a winner, and the "tipster" will get his share. The one who wins tells his friends, who think the "tipster" must be a wonderfully shrewd individual, and in this way he builds up a profitable business, and the "lambs" come flocking his way. He keeps on telling one set of his victims to buy a certain stock, and another set to sell it. Whether the stock goes up or down the "tipster" wins, and those who are on the right side of this particular deal spread his name and fame among their acquaintances.

#### "INFORMATION BUREAUS."

These bureaus are "tipsters" pure and simple, only they travel under the name of a "bureau," instead of their individual names.

#### "A SCALPER."

One who is in the market continually guessing and gambling on the rise or fall. He risks a thousand dollars to gain twelve and one-half dollars.

#### DEALING ON MARGIN.

This means that the buyer of a stock only deposits with his broker a small part of the value of the shares he is buying or selling. He is simply gambling, and very hazardous gambling it is. If he guesses wrong, he must pay up more and more margin or lose altogether. Dealing on margin is the favorite sport of the "lambs," and it is very profitable, indeed, to those who take advantage of their misfortunes. The odds are all against the speculator on margin, and sooner or later his money disappears and he disappears with it.

#### A SUCCESSFUL OPERATOR.

A man who is neither "bull" nor a "bear," but simply waits and takes advantage of opportunities. He knows the power of money. He knows the weakness of the public, and how gullible it is. He knows how to worry and scare the people. He sets his machine for the game and gets it. Ordinary market affairs do not interest him. When a "squall" appears he is notified instantly, and gets ready for business. He knows all about the stocks that he deals in, precisely what they are, and just what to do. He knows what to buy and just to a fraction when to commence to buy it. He gives his orders, pays no more attention to it, except to see how much he got. He buys just as closely to the bottom as it is possible to get, and when it is all over he goes away happy, asking to

be notified when the market is up again.

## \_CONCLUSION.\_

The contents of this book, including the Wall Street definitions given above, should give the reader a pretty clear idea of what is done on the New York Stock Exchange, and just why and how the blundering public is continually losing its money and giving Wall Street a black name.

\_It should convince you that you cannot afford to attack Wall Street by the methods that have been tried so many thousands of times and found to be utter failures.\_

About the worst possible thing that can happen to a man is to take a "flyer" in Wall Street and win. His winning convinces him beyond a doubt that he knows all about it, and he goes deeper and deeper, sometimes winning a little, but oftener losing, until some extraordinary turn of the market, some unforeseen incident, or some reckless piece of speculation wipes him out. That is the record of the guesses of ninety-nine out of a hundred men who try to take money out of Wall Street.

What is the use of following right along in their footsteps and trusting to dumb luck or something of that sort to pull you out?

If you have any money that you want to make money with, go into Wall Street through our medium, and place your money in hands where it will not only be perfectly safe, but where it will be handled in the only way that can possibly beat Wall Street.

There is no doubt at all about this.

\_The thing can be done, has been done, is being done, and will always be done.\_

And the men who are doing it are piling up enormous fortunes for themselves, they are the only men who get the money in the end.

If you want to be on their side instead of on the losing side, the only possible way you can do so is in the manner outlined in this book and we offer you the best, most favorable and safest opportunity.

## \_QUESTIONS AND ANSWERS.\_

Q. How many small "lots" can you handle with a capital of one hundred thousand dollars?

A. About one hundred.

Q. In case of a sudden "slump," say twenty per cent., what is the result?

A. No change of base is made.

Q. Suppose some lots are on hand bought at higher prices?

A. They are kept until sold at a profit, meantime paying a dividend.

Q. Why do you buy dividend paying stocks?

A. Because they carry themselves.

Q. How often do you make purchases in a declining market?

A. That depends on the market, the stock, the times, and conditions generally, which can be properly judged by the managers, who are devoting all their time and facilities to the business, and know the exact condition of every property dealt in.

Q. What would be the effect of an unexpected calamity?

A. Panics are a great help to this method.

Q. How often do you make purchases or sales?

A. About every day, as some one or more of the different stocks have moved sufficiently to do some purchasing or selling.

Q. Do you expect to carry a stock a year before you can sell it?

A. Yes, if necessary, but not likely, because first purchase only begins when the stock can be had at a bargain and is only a small "lot," and when the average has been reached and sufficient profit made, all the little lots may be sold as one lot. It is not contemplated that this will be done unless it was desirable to close out in any particular stock. There may be some loss on first purchase, but the lowest purchases have handsome profits, and the transaction as a whole renders large returns, when it is closed out and the process commenced over again, and again.

Q. Do you guarantee investments made in the bonds of your company?

A. Yes, because we know the security is absolutely safe, and we have on hand all the time during the three years either the cash or an equivalent amount in sound dividend shares in the most prosperous

railway and industrial corporations in the world.

Q. Do you guarantee interest on the bonds at the rate of five per cent.?

A. Yes, we guarantee the principal and that the profits to the investor shall not be less than five per cent. per annum, payable semi-annually, and we will pay it regularly, but it will be charged against the gross profits, the same as commissions.

Q. How much more than five per cent. do you expect the bonds will earn?

A. At least 25 to 50 per cent. per annum.

Q. What are the denominations of the bonds?

A. Twenty-five dollars and upwards. We issue them in regular numbers to the purchasers for the amount of his or her investment, the same as a life insurance policy is issued.

Q. Will these bonds have a market value during the three years?

A. Yes, and will sell above par after the first six months.

Q. Why do you issue bonds for only twenty-five dollars?

A. So as to give small investors the opportunity to join with capitalists for savings and better returns than they can get elsewhere.

Q. Do you consider your bonds as safe and profitable as savings banks?

A. Yes, and more so, because the security is better than any savings bank which receives money, pays a low rate of interest, and loans it out on securities that do not always have a cash value. Our bonds are secured by an equivalent in cash or the safest and soundest dividend paying securities in the world, and can be sold instantly every business day in the year; furthermore, they earn not less than 5 per cent. per annum, with a practical certainty of a great deal more.

Q. How do you buy the securities?

A. Through our brokers on the floor of the exchanges.

Q. Can a bondholder in your company have information of the condition of these investments any time?

A. Yes, every day, if he wishes.

\_Correspondence is invited, and the fullest information will be frankly given.\_

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